

The Employer's Guide to Choosing the Right PEO

A practical guide to payroll, HR, benefits, and compliance solutions for growing organizations.

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"Running a business is tough. Managing HR, payroll, and compliance shouldn't make it harder. This guide gives you the framework to make a confident decision."

CHAPTER 01

What Is a PEO and How Does It Work?

A Professional Employer Organization (PEO) is a firm that partners with small and mid-sized businesses to provide comprehensive HR solutions. Through a co-employment model, the PEO becomes the employer of record for tax and insurance purposes, while you retain full control of your team, operations, and day-to-day management decisions.

In practice, this means the PEO handles payroll processing, tax filing, benefits administration, workers' compensation, and regulatory compliance on your behalf. Your employees stay under your direction — but with a full back-office HR infrastructure supporting them.

What a PEO Typically Manages

- Payroll processing and tax filing across all states where you operate
- Employee benefits: health insurance, dental, vision, life, disability, and 401(k)
- Workers' compensation coverage and claims management
- HR compliance with federal, state, and local employment regulations
- Employee onboarding, handbook policies, and HR documentation
- Risk management, safety programs, and OSHA compliance support

The Co-Employment Model



You keep full control of your people. The PEO handles the HR infrastructure behind them.

PEOs serve businesses of all kinds, but the greatest impact is typically felt by companies with 20 to 250 employees — where HR complexity is growing fast but building a full in-house department isn't practical yet.

CHAPTER 02

Signs Your Business Needs a PEO

Most business owners don't wake up and decide they need a PEO. The need reveals itself through growing pains: mounting compliance questions, rising insurance costs, payroll headaches, and the sense that HR administration is pulling leadership away from the work that actually grows the business.

Common Triggers

1. **Your benefits aren't competitive.** You're losing candidates to companies with better plans — but you can't access large-group rates on your own.
2. **Payroll and tax compliance feel risky.** You're operating in multiple states, managing different tax jurisdictions, or worried about filing errors and penalties.
3. **HR tasks consume leadership time.** Founders or office managers are spending hours each week on HR paperwork instead of strategic work.
4. **You're growing fast.** Rapid hiring means more complexity in onboarding, compliance, benefits enrollment, and workers' comp.
5. **Your current provider is underperforming.** Renewals keep climbing, service is slow, and errors are recurring.
6. **You're expanding into new states.** Multistate employment introduces new regulations, tax requirements, and workers' comp considerations.

"When growth outpaces your HR infrastructure, the risk isn't just inefficiency — it's exposure. A PEO puts payroll, benefits, and compliance on solid ground before growing pains turn into expensive problems."

CHAPTER 03

The True Cost of Getting It Wrong

Choosing the wrong PEO — or not using one at all — can be far more expensive than most employers realize. The costs show up in payroll penalties, benefit overspending, compliance fines, lost productivity, and turnover.

33%

of employers make payroll errors annually

\$14,900

average cost of a bad hire

40%

of small businesses incur IRS penalties

Hidden Costs of the Wrong PEO

- Overpaying on medical premiums because your PEO pools you with higher-risk groups
- Recurring payroll errors that create tax liabilities and erode employee trust
- Slow or non-existent compliance support that leaves you exposed to fines
- Poor service that forces your team to spend hours chasing answers
- High renewal increases with no explanation or negotiation leverage
- Transition chaos when you finally switch, because your data isn't portable

These costs compound. A PEO that looked affordable in year one can quietly become your most expensive vendor by year three — not because PEOs are bad, but because the wrong fit gets more expensive over time.

CHAPTER 04

How to Evaluate and Compare PEOs

Not all PEOs are created equal. They differ widely in pricing, benefits, technology, service quality, and geographic capabilities. A structured evaluation gives you confidence that you're comparing based on fit, not just price.

Key Evaluation Criteria

Criteria	What to Look For	Red Flags
Benefits Quality	Large-group medical plans, multiple carrier options, strong ancillary and retirement	Limited plan choices, no dental/vision, no 401(k)
Pricing Model	Transparent per-employee or %-of-payroll pricing with clear line items	Bundled pricing with no visibility into what you're paying for
Technology	Modern platform with payroll, onboarding, time tracking, and employee self-service	Clunky interface, manual processes, no mobile access
Service Model	Dedicated support team with clear escalation paths and SLAs	Call center only, inconsistent contacts, slow response
Compliance	Proactive guidance, multistate expertise, HR advisory included	Reactive only, no advisory, limited state coverage
Accreditation	IRS-certified (CPEO), ESAC-accredited, SOC 1, strong financials	No certifications, no transparency, unwilling to share audits

Pro Tip: Ask every PEO candidate for client references in your industry and employee size range. How they treat similar businesses is the best predictor of your experience.

CHAPTER 05

The Switching Process: What to Expect

Whether you're adopting a PEO for the first time or switching from a provider that isn't working, the implementation process follows a predictable path. Understanding it in advance helps you plan resources and avoid disruption.

A Typical PEO Transition Timeline



1 Phase 1: Discovery and Needs Analysis (Weeks 1–2)

You document your current payroll, benefits, compliance, and HR setup. Census data, payroll reports, benefits invoices, and workers' comp history are gathered for proposals.

2 Phase 2: Proposal Review and Selection (Weeks 2–4)

PEO candidates deliver proposals. You compare pricing, benefits, technology, and service side by side. A structured comparison framework helps you avoid choosing on price alone.

3 Phase 3: Contracting and Configuration (Weeks 4–6)

Service agreements, benefit elections, payroll setup, and system configuration are finalized. Employee data is migrated and tested before go-live.

4 Phase 4: Employee Communication and Go-Live (Weeks 6–8)

Employees are enrolled in new benefits, trained on the new platform, and given clear information about what's changing. The first payroll runs with parallel checks.

5 Phase 5: Post-Launch Support (Ongoing)

The first 60–90 days are critical. A good PEO provides dedicated implementation support to catch issues early and ensure your team is comfortable.

CHAPTER 06

10 Questions to Ask Every PEO

These are the questions that separate a confident buyer from one who ends up surprised. Use this list in every evaluation conversation.

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- 01 Are you IRS-certified (CPEO) and ESAC-accredited?**
Certification protects you from federal tax liability if the PEO fails to remit payroll taxes.
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- 02 How is your pricing structured, and what's included?**
Understand whether pricing is per-employee or %-of-payroll, and what's bundled.
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- 03 What medical carriers and plan designs do you offer?**
Ask for specific plan options, network sizes, and how current doctors are covered.
-
- 04 What does your renewal process look like?**
Ask about historical renewal trends and what options you have if you disagree.
-
- 05 What technology platform do you use?**
Request a demo. Evaluate self-service, mobile, payroll, and reporting.
-
- 06 What is your service model?**
Dedicated account manager or team? Response time commitments?
-
- 07 How do you handle multistate compliance?**
The PEO must be registered and capable in each state where you have employees.
-
- 08 What does the implementation process look like?**
Get a detailed timeline and understand what's expected from your team.
-
- 09 Can you provide client references in my industry?**
Speaking with similar businesses gives you real insight into the day-to-day experience.
-
- 10 What happens if we want to leave?**
Understand contract terms, notice periods, and data portability.
-

CHAPTER 07

Your PEO Readiness Checklist

Before you start talking to PEOs, gather these documents and data points. Having this information ready ensures you receive accurate proposals and make meaningful comparisons.

Company Information

- ✓ Legal entity name, DBA, FEIN, and date of establishment
- ✓ Number of full-time, part-time, and 1099 workers
- ✓ States where employees are located; SIC/NAICS code; payroll frequency

Payroll & Tax Documents

- ✓ Last two full payroll cycles (pay stubs or payroll register)
- ✓ State unemployment tax (SUTA) reports
- ✓ Current payroll provider and contract terms

Benefits Information

- ✓ Two most recent medical plan invoices and Summary of Benefits (SBC)
- ✓ Renewal information and claims history (if applicable)
- ✓ Current 401(k) plan details (provider, match formula, vesting)

Workers' Compensation

- ✓ Current workers' comp policy declarations page and EMR / mod rate
- ✓ Loss runs for the past four years (or a no-loss letter)
- ✓ Workers' comp classification codes for each role

Employee Census

- ✓ Full legal names, dates of birth, ZIP codes, hire dates, and job titles
- ✓ Annual wages and current medical plan elections
- ✓ Dependent information for benefits enrollment

Pillar Tip: Don't have all of this ready? That's normal. A good PEO advisor will help you gather, organize, and submit these documents so you don't have to figure it out alone.

CHAPTER 08

Why Work with a PEO Advisor?

You wouldn't buy commercial insurance without a broker. A PEO is one of the most important vendor decisions a growing business makes — and yet most employers navigate it alone, relying on sales presentations from the PEOs themselves. A PEO advisor works for you, not for any PEO.

How Pillar Works



What a PEO Advisor Does

- **Analyzes your needs** — understanding your business, employees, priorities, and budget to match you with the right PEOs.
- **Runs a structured comparison** — normalizing proposals so you can objectively compare pricing, benefits, and service.
- **Negotiates on your behalf** — knowing competitive rates and what contract terms to push back on.
- **Manages the transition** — keeping implementation on track from paperwork to first payroll.
- **Provides ongoing support** — staying engaged through renewals and advocating if issues arise.

About Pillar PEO Advisors

Pillar helps growing employers compare and move to the right PEO — so they can improve benefits, reduce HR drag, and make a confident decision without guessing. We work independently of any PEO, which means our recommendations are based entirely on what's best for your business.

Ready to Find the Right PEO?

Let Pillar do the heavy lifting. We'll analyze your needs, compare the market, and guide you to the PEO that fits your business best.

Schedule Your Free Consultation

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The right PEO can transform your business. We'll help you find it.